

EMPLOYEE LOAN POLICY

1. Objective

Babaji Shivram Clearing & Carriers Pvt. Ltd. believes in supporting its employees in times of dire need of funds and support for their personal emergencies. For this purpose, an Employee Loan policy is established to enable staff members to avail a loan. This also defines the payment terms and eligibility etc.

2. Scope and Applicability

This policy applies to all employees of Babaji Shivram Clearing & Carriers Pvt. Ltd.

3. Policy / Process

3.1. Eligibility of Loan

- ✓ Employee loans are limited to **medical emergencies / children's education** purpose.
- ✓ All employees who have **completed 3 years of service** in the organization are eligible for loan with **6% p.a. interest** subject to availability of funds.
- ✓ Loan granted for **any other reason** other than medical or education, will attract **interest of 9.5% p.a.**
- ✓ Any kind of tax liability applicable on the loan amount will be borne by the employee.
- ✓ The basic criterion for eligibility is a genuine verifiable purpose for which the employee has applied for a loan.
- ✓ Company reserves the right to approve / reject a loan application with or without assigning any reason whatsoever
- ✓ No precedence of loan sanctions from the Company to other employees will give a right to the applicant to demand a loan from the Company

3.2. Eligibility amount and repayment

- ✓ The maximum amount to be sanctioned as a loan will be equivalent to **5 months gross salary** of the employee.
- ✓ Application for a higher amount will be subject to approval from the HR and Management depending on the situation and circumstances under which the loan has been applied for.
- ✓ Loan amount will be credited to the employee's salary account. Under no circumstances the amount will be paid to any third party.
- ✓ The loan will be repayable within **12 months** in equal monthly deductions from salary.
- ✓ The deduction of instalments from salary will start from the month subsequent to which the loan has been sanctioned.
- ✓ If an employee desires to repay the balance loan amount either in full or in additional instalment(s), the employee must inform HR, who will facilitate the repayment.
- ✓ No penalty will be charged for prepayments
- ✓ Employees can neither apply for multiple loans at the same time nor apply for a fresh loan while repayment of an earlier loan is in progress
- ✓ Employees can apply for another loan only after completion of one year from the complete repayment of an earlier loan.
- ✓ Loans sanctioned for a specific purpose cannot be utilised by the employee for any other purpose without the written approval of the Management.

3.3 Eligibility amount and repayment

A. While Employee is in Service of the Organisation.

- ✓ The applicant has to fill a loan application form.
- ✓ The duly filled form is forwarded to the HR department with the respective Department Head's comments and supporting documents
- ✓ The HR Department verifies the eligibility criteria with the supporting documents and forwards the application to Management for approval.
- ✓ The sanction / rejection of loan is at the discretion of the Management and is conveyed to the employee by the HR department.
- ✓ In the event the loan is sanctioned, a Loan Agreement has to be signed by the employee prior to disbursement of the loan
- ✓ Finance team will then process the loan payment as defined in Clause # 3.2

B. While Employee leaves the Organisation

- ✓ If an Employee leaves the organisation before repayment of the full loan amount, the employee is liable to pay the balance amount by cheque in the name of the Company before being relieved.
- ✓ In case the balance amount is not paid by the employee before being relieved, the amount will be recovered from the final settlement amount.
- ✓ The Company reserves the right to approach a Court of law in the event a full refund of any dues is not received from the employee
- ✓ The Company also reserves the right to withhold any testimonials, documents and certificates owed or belonging to the employee in the event of any non-recovery of dues.

4. Special Circumstance and Exception

Any Deviation to this policy has to be approved by Management.

5. Non-compliance and Consequence

Violation of this policy is subject to disciplinary action, up to and including termination.

Dhaval
Kirti
Davada

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